

This latter approach is referred to as the pre-trade of pre-trade approach and it has become very popular among portfolio managers. An abstract of the approach was published in *Journal of Trading* (Kissell, 2011), and subsequently presented at the Northfield Risk Conference (August 2012). We follow the process described in the *Journal of Trading* below.

PRE-TRADE OF PRE-TRADES

The pre-trade of pre-trade modeling approach consists of using broker-dealer and/or vendor cost estimates as input into the market impact model. Managers then calibrate their preferred market impact model with these cost estimates. This allows managers to focus on stock selection and analysis rather than spending valuable resource time and dollars managing data, corporate actions, and building system infrastructure.

But why can a portfolio manager not request cost estimates for various stocks and trading strategies across different brokers and vendors, and then take the average cost as the estimate rather than calibrating their own model? While this type of approach is being used in the industry, it does have some limitations.

- First, it does not provide managers with the ability to determine how costs will vary by company characteristics such as volatility, market cap, or liquidity states. For example, if volatility in the stock increased what would be its effect on cost?
- Second, the modeling approach used by vendors is still a black box approach and without a functional form managers are not able to integrate trading cost estimates with their proprietary stock selection models.
- Third, managers cannot express their views of market conditions (volatility and liquidity) or incorporate their own proprietary alpha estimates. There is always the potential that the vendor's view of the market conditions will be dramatically different from the view of the portfolio manager. This creates another level of inconsistency between trading and investing.
- Finally, these approaches do not allow managers to perform sensitivity analysis. For example, managers need to be able to investigate the cost of buying stock in the current market environment and be able to investigate the cost of selling stock at a future point in time and under an entirely different set of market conditions.